

Repco Home Finance Limited

September 29, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Long-term bank facilities	RBI	11,145.00	CARE AA-; Stable	Reaffirmed
Commercial paper	RBI	800.00	CARE A1+	Reaffirmed

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

Reaffirmation of ratings assigned to bank facilities and debt instruments of Repco Home Finance Limited (RHFL) reflect its comfortable capitalisation profile, healthy profitability and established franchise in the affordable housing finance segment, particularly across Tier-II and Tier-III cities in South India. The company reported a healthy return on average total assets (ROTA) of 2.94% in FY26, supported by stable earnings and controlled credit costs. RHFL's asset under management (AUM) stood at ₹15,880 crore as on March 31, 2026, registering a compounded annual growth rate (CAGR) of ~8% from FY22-FY26.

Ratings also derive strength from sustained improvement in the company's asset quality metrics in the last few years. Gross non-performing assets (GNPA) gradually improved to 2.55% as on March 31, 2026, from 5.77% as on March 31, 2023, while 30+ days past due (DPD) profile strengthened significantly, improving to 9.56% from 19.34% in the same period, reflecting improved underwriting standards, better collection efficiency and focused recovery efforts. The post-2022 loan book has exhibited relatively stronger performance, with GNPA of ~1% and Stage 2 assets of ~4%, supporting overall asset quality profile. Focused recovery efforts have supported a meaningful reduction in the legacy and restructured portfolio, with the restructured book declining to ~₹373 crore as on March 31, 2026, from ~₹700 crore as on March 31, 2022; however, the residual legacy/restructured portfolio remains a key monitorable. GNPA and net NPA (NNPA) stood at 2.67% and 1.21%, respectively, as on June 30, 2026. Going forward, RHFL is expected to maintain steady portfolio growth while continuing its focus on improving asset quality and collection efficiency.

However, ratings continue to remain constrained by the company's regional concentration in the loan portfolio, a moderate resource profile characterised by significant dependence on bank borrowings, exposure to relatively higher-risk borrower segments comprising self-employed and informal-income customers, relatively weaker asset quality compared to its peers, low seasoning of its portfolio where asset quality is better as ~67% of its outstanding portfolio as on June 30, 2026 is created post FY22 and slower than industry AUM growth.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

- Improvement in the scale of operations accompanied by geographical diversification.
- Diversification in funding profile to support the growing scale of operations.
- Improvement in asset quality with GNPA below 2% on a sustained basis.

Negative factors: Factors that could individually or collectively lead to negative rating action/downgrade:

- Moderation in profitability, with ROTA of less than 2.00% on a sustained basis.
- Weakening capitalisation, with overall gearing above 5x on a sustained basis.
- Deterioration in asset quality with GNPA above 5%.

Analytical approach: Standalone

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority.

²Complete definitions of ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Outlook: Stable

The stable outlook reflects CARE Ratings Limited's (CareEdge Ratings') expectation of steady business growth, while maintaining comfortable capitalisation levels and profitability with improvement in asset quality.

Detailed description of key rating drivers

Key strengths

Established track record of operations, especially in South India

RHFL was established in 2000 and has over two decades of experience in the housing finance sector, with a strong presence in Tier-II and Tier-III cities, particularly across South India. The company benefits from an experienced and diversified Board comprising nine directors, including six non-executive independent directors, two non-executive non-independent directors, and the Managing Director & CEO, with members bringing extensive expertise across banking, finance, insurance, information technology and legal domains. T Karunakaran, Managing Director & CEO, has ~34 years of experience in the housing finance industry and has been associated with RHFL since 2004, having served across leadership roles over the years. RHFL is further supported by an experienced management team and a trained workforce operating through its head office and branch network, which has aided strengthening of its business, credit underwriting, collection and recovery processes in recent years.

RHFL's AUM increased to ₹15,880 crore as on March 31, 2026, from ₹14,492 crore as on March 31, 2025, supported by disbursements of ₹4,148 crore in FY26, and AUM further increased to ₹15,990 crore as on June 30, 2026. The portfolio remains predominantly focused on housing finance, with home loans accounting for 71% of the outstanding portfolio and home equity loans comprising the remaining 29% as on June 30, 2026.

Comfortable capitalisation

RHFL consistently maintained a comfortable capital position, with its capital adequacy ratio (CAR) remaining well-above 20%, supported by healthy internal accruals and moderate growth in its loan portfolio. As on March 31, 2026, the company's total CAR stood at 36.66%, compared to 37.09% as on March 31, 2025, while the company's gearing improved to 3.23x from 3.32x in the same period. As on June 30, 2026, CAR stood at 36.10%, while gearing stood at 3.11x. RHFL remains well-capitalised, providing adequate headroom to support its targeted business growth in the medium term.

Healthy profitability

RHFL's profitability remained healthy in FY26, although its ROTA moderated to 2.94% from 3.18% in FY25, primarily due to higher operating expenses and moderation in yield on advances. Pre-provisioning operating profits (PPOP) increased marginally to ₹555 crore in FY26 from ₹540 crore in FY25, supported by healthy net interest income. Credit costs remained favourable, with net write-backs resulting in a negative credit cost of 0.20% of average total assets in FY26, aided by successful recoveries and reversal of excess provisions. Cost of borrowings improved to 8.40% in FY26 from 8.84% in FY25, while the yield on advances moderated to 11.45% from 11.73%. Decline in lending yields was partly attributable to selective rate reductions offered to existing borrowers to retain good-quality customers and contain balance transfer outflows, resulting in an improvement in interest spread to 3.05% from 2.89%. Operating expenses increased to 1.68% of average total assets in FY26 from 1.48% in FY25, primarily due to higher employee costs arising from salary revisions and promotions.

In Q1FY27, ROTA stood at 2.83% on an annualised basis, with PPOP increasing to ₹157 crore from ₹144 crore in Q1FY26 and profit after taxation (PAT) increasing to ₹114 crore from ₹108 crore. Given the sustained profitability, improvement in cost of borrowings and continued focus on asset quality and recoveries, profitability is expected to remain healthy in the medium term.

Key weaknesses

Moderate asset quality parameters

RHFL's asset quality has demonstrated a sustained improvement trend in the last few years, with the GNPA ratio improving to 2.55% as on March 31, 2026, from 3.26% as on March 31, 2025, supported by lower slippages and healthy recoveries. Consequently, the NNPA ratio improved to 1.15% as on March 31, 2026, from 1.32% as on March 31, 2025. While asset quality metrics improved meaningfully, they remain relatively moderate compared to peers in housing finance, and therefore, continue to be a key monitorable. As on June 30, 2026, GNPA and NNPA ratios stood at 2.67% and 1.21%, respectively. Marginal moderation in Q1FY27 was largely attributable to seasonal factors, as the first quarter is typically characterised by slower collection and recovery activity.

Improvement in asset quality was further reflected in lower incremental stress, with the slippage ratio declining to 0.71% as on March 31, 2026, from 0.79% as on March 31, 2025. Segment-wise, the GNPA ratio in the housing loan portfolio improved to

2.39% as on March 31, 2026, from 3.10% as on March 31, 2025, while the GNPA ratio in the home equity portfolio improved to 2.62% as on March 31, 2026 from 3.32% as on March 31, 2025. The Stage 2 portfolio also reduced significantly to 7.06% as on March 31, 2026, from 9.79% as on March 31, 2025, although it marginally increased to 7.24% as on June 30, 2026.

RHFL's gross stressed assets, comprising GNPA's and restructured assets, improved to 4.25% of gross advances as on March 31, 2026, from 5.45% as on March 31, 2025. This was aided by a reduction in the restructured portfolio to ₹373 crore as on March 31, 2026, from ₹446 crore as on March 31, 2025. The restructured portfolio declined substantially from ~₹700 crore as on March 31, 2022, reflecting the company's sustained recovery and resolution efforts. As on June 30, 2026, gross stressed assets further improved to 3.68% of gross advances, while the restructured portfolio stood at ₹359 crore. The residual restructured book and legacy stressed exposures continue to remain a key monitorable. Asset quality stood better for the AUM originated post FY22 however its AUM originated post FY22 constitutes ~67% of total AUM as on June 30, 2026, reflecting relatively lower seasoning.

In the last few years, RHFL undertook several measures to strengthen its collection and recovery framework, including enhanced focus on early- warning mechanisms for stress identification, active follow-up of delinquent accounts, expansion of its recovery agency network and revision of the incentive structure for recovery personnel. The company expects these initiatives to support further reduction in Stage 2 assets and legacy stressed accounts, strengthening its overall asset quality profile in the near-to-medium term.

Regional concentration of portfolio

RHFL's loan portfolio continues to be geographically concentrated in South India, with ~83% of the total portfolio spread across five southern states as on March 31, 2026, and June 30, 2026. Tamil Nadu dominated the portfolio with 57% of the total portfolio as on June 30, 2026, followed by Karnataka (11%), Maharashtra (10%), Andhra Pradesh (6%), Telangana (6%), Kerala (2%), and Gujarat (3%). Balance portfolio was spread across Puducherry, Rajasthan, Jharkhand, Odisha, West Bengal, and Madhya Pradesh.

Although RHFL has initiated steps to improve regional diversification, the company plans to continue its selective expansion in Western and Central India, with Maharashtra and Madhya Pradesh identified as key focus markets, while maintaining a cautious approach towards expansion in Eastern India. The business is expected to remain concentrated in the southern region—particularly Tamil Nadu—in the medium term.

Moderate resource profile with high reliance on bank borrowings

RHFL's bank borrowings continue to be its primary source of funding, followed by refinance from the National Housing Bank (NHB). Bank borrowings (excluding Repatriates Cooperative Finance and Development Bank Limited [Repco Bank]) increased to 85% of total borrowings as on March 31, 2026, from 83% as on March 31, 2025, supported by availability of relatively longer-tenor funding. Borrowings from NHB refinance and Repco Bank stood at 6% and 5%, respectively, as on March 31, 2026, compared to 8% and 9%, respectively, as on March 31, 2025. In FY26, RHFL also initiated borrowings through non-convertible debentures (NCDs), commercial paper (CP) and pass-through certificates (PTC) which constituted ~1% each of total borrowings as on March 31, 2026.

As on June 30, 2026, bank borrowings constituted 87% of total borrowings, while NHB refinance and Repco Bank borrowings accounted for 6% and 5%, respectively, with NCDs, CP and PTC constituting ~1% each. RHFL plans to further diversify its resource profile through increased issuances of CP and NCDs, depending on market conditions.

Relatively higher exposure to certain riskier borrower segments

RHFL primarily lends to relatively higher-risk borrower segments, including low-and-middle-income individuals in the informal sector, for housing finance needs. This segment remains more vulnerable to economic downturns, making asset quality a key monitorable. Despite persisting challenges, ultimate losses have remained contained, supported by factors such as lower loan-to-value (LTV) ratios, a modest average ticket size of ₹13 lakh, and a focused approach to collections. The salaried segment represents 47% of the overall AUM and is anticipated to remain stable at this level going forward. As on June 30, 2026, 83% of the outstanding loan portfolio had an LTV below 70%, offering some cushion against potential stress, even as asset quality remains a monitorable.

Liquidity: Adequate

RHFL's asset-liability management (ALM) profile remained adequate as on June 30, 2026, with no cumulative negative mismatches up to one year. As on June 30, 2026, RHFL held unencumbered cash and cash equivalents of ₹137 crore and had unutilised

sanctions of ₹1,374 crore. Further, the company had access to total credit facilities of ₹399 crore (unutilised portion) from its promoter, Repco Bank during the same period.

Environment, social, and governance (ESG) risks

Although RHFL's service-oriented business model limits its direct exposure to environmental risks, credit risk may arise, if operations of any asset class in the portfolio are adversely impacted by environmental factors. Through its Green Home Loan Scheme, RHFL encourages homebuyers to invest in energy-efficient, eco-friendly housing solutions, contributing to long-term environmental sustainability. Operational practices continue to focus on minimising carbon footprint, reducing waste, and promoting responsible resource consumption in offices and facilities.

Social risks such as cybersecurity threats, customer data breaches, or mis-selling practices may affect RHFL's regulatory compliance and reputation, and hence, remain key monitorable. RHFL remains steadfast in providing access to home financing for individuals in economically weaker sections (EWS) and low-income groups, including those with limited or no access to formal financial services. In FY26, there were no complaints relating to data privacy or cybersecurity and no instances of data breaches were reported.

RHFL's Board comprised nine directors as on March 31, 2026, including five independent directors and one female director. The company has established a customer grievance redressal system to ensure quick and effective resolution of customer grievances.

Applicable criteria

[Definition of Default](#)

[Rating Outlook and Rating Watch](#)

[Financial Ratios - Financial Sector](#)

[Housing Finance Companies](#)

[Short Term Instruments](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Housing finance company

RHFL is a housing finance company (HFC), established in April 2000, and promoted by Repco Bank, a Government of India enterprise. The company's shares were listed on the National Stock Exchange (NSE) and Bombay Stock Exchange (BSE) following its initial public offering (IPO) in FY13. As on March 31, 2026, Repco Bank held a 37.13% stake in RHFL, with the balance shareholding distributed among institutional and retail investors.

RHFL operates on a hub-and-spoke model and has a presence across 12 states and one Union Territory through a network of 210 branches and 32 satellite centres (sub-branches) as on June 30, 2026. The company reported assets under management (AUM) of ₹15,990 crore as on June 30, 2026, with an average ticket size of ₹13 lakh. The portfolio remains primarily concentrated in south India, with a strategic focus on Tier-II and Tier-III cities.

Brief Financials (₹ crore)	31-03-2025	31-03-2026	30-06-2026
Standalone	A	A	UA
Total income	1,715	1,798	468
Profit after tax (PAT)	449	453	114
Assets under management (AUM)	14,492	15,880	15,990
On-book gearing (x)	3.32	3.23	3.11
AUM / tangible net worth (TNW) (x)	4.32	4.21	4.11
Gross stage 3 (%)	3.26	2.55	2.67
Return on managed assets (ROMA) (%)	3.18	2.94	2.83
Capital adequacy ratio (CAR) (%)	37.09	36.66	36.10

A: Audited; UA: Unaudited; Note: these are latest available financial results

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:

A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Commercial Paper- Commercial Paper (Standalone)	RBI	Simple	Proposed	-	-	-	800.00	CARE A1+
Fund-based - LT-Cash Credit	RBI	Simple	-	-	-	-	275.00	CARE AA-; Stable
Fund-based - LT-Term Loan	RBI	Simple	-	-	-	May, 2036	10870.00	CARE AA-; Stable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Fund-based - LT-Term Loan	LT	10870.00	CARE AA-; Stable	-	1)CARE AA-; Stable (30-Sep-25)	1)CARE AA-; Stable (04-Oct-24)	1)CARE AA-; Stable (06-Oct-23)
2	Commercial Paper-Commercial Paper (Standalone)	ST	800.00	CARE A1+	-	1)CARE A1+ (30-Sep-25)	1)CARE A1+ (04-Oct-24)	1)CARE A1+ (06-Oct-23)
3	Fund-based - LT-Cash Credit	LT	275.00	CARE AA-; Stable	-	1)CARE AA-; Stable (30-Sep-25)	1)CARE AA-; Stable (04-Oct-24)	1)CARE AA-; Stable (06-Oct-23)

LT: Long term; ST: Short term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable**Annexure-4: Lender details**To view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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About us:

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